BASIC ACCOUNTING TERMS

- **Assets, Liabilities, Equity, Income, Expense**
- **Assets** are items “owned” by the entity; a resource that is expected to give economic benefits to its owner in future accounting period(s)
- **Liabilities** are items “owed” by the entity; an obligation that needs to be settled by giving up assets
- **Equity** is net assets (residual). Can be positive or negative
- **Income** is value generated by selling/providing goods/services or from investments
- **Expense** is the cost of generating income (whose economic benefit has been fully utilized in the accounting period)

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FINANCIAL STATEMENTS

- Balance Sheet
  - Statement of Financial Position
- Statement of Profit and Loss
  - Income Statement, P&L a/c
- Statement of Cash Flows
- Statement of Changes in Equity

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BALANCE SHEET (BS)

- Prepared “as on” a particular date
- Shows the financial status of an entity
- Shows Assets, Liabilities and Equity
- Basic Accounting Equation: A = L + E

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STATEMENT OF PROFIT AND LOSS (SPL)

- Prepared “for” a period
- Shows the performance of the entity during that period
- Shows details of Incomes and Expenses
- If Incomes > Expenses, result is Net Profit. If Incomes < Expenses, Net Loss
- BS and SPL are the “core” Financial Statements

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STATEMENT OF CASH FLOWS (SCF)

- Prepared “for” a period
- Shows cash inflows and outflows across 3 sections
- CFs from Operating activities
- CFs from Investing activities
- CFs from Financing activities
- Details derived from BS and SPL

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STATEMENT OF CHANGES IN EQUITY (SCE)

- Prepared “for” a period
- Gives more details about Equity (SCE is a subset of BS)
- Equity is the money that belongs to the owners
    - Capital invested by owners plus company profits minus dividends (distributed profits)
- Equity is shown as a liability as the entity has to pay back the owners on liquidation
- Equity is an “internal” liability

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BS and SPL

- BS: Assets, Liabilities & Equity are **Permanent** (balance carried fwd year on year)
- SPL: Incomes and Expenses are **Temporary** (i.e. used only for that year)



- BS: Balance Sheet
- SPL: Statement of Profit and Loss

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